Category

Understanding Business Cycles

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CREDIT CYCLES

Learning Outcome

- describe credit cycles

Whereas business cycles mostly use GDP as a measure of economic activity, a body of literature has emerged in which cyclical developments of financial variables are analyzed separately. This is most commonly done in terms of credit and property prices. Credit cycles describe the changing availability—and pricing—of credit. They describe growth in private sector credit (availability and usage of loans), which is essential for business investments and household purchases of real estate. Therefore, they are connected to real economic activity captured by business cycles that describe fluctuations in real GDP.

When the economy is strong or improving, the willingness of lenders to extend credit, and on favorable terms, is high. Conversely, when the economy is weak or weakening, lenders pull back, or "tighten" credit, by making it less available and more expensive. This frequently contributes to the decline of such asset values as real estate, causing further economic weakness and higher defaults. This is because of the importance of credit in the financing of construction and the purchase of property. Credit cycles are a subset of a wider family of so-called financial cycles, a topic that goes beyond the scope of our coverage.

Applications of Credit Cycles

Financial factors were for a long time not prominent on the radar screens of macroeconomists. Monetary and financial phenomena were largely seen as a veil that could be ignored when trying to understand the economy. But loose private sector credit is considered to have contributed to several financial crises, such as the Latam crisis of the 1980s; the Mexican, Brazilian, and Russian crises of the 1990s; the Asian crisis of 1997–1998; and the Global Financial Crisis of 2008–2009. Expansive credit conditions often lead to asset price and real estate bubbles that burst when capital market outflows and drawdowns occur mostly because of weaker fundamentals.

It is recognized that in a world with financial frictions, business cycles can be amplified, with deeper recessions and more extensive expansions because of changes in access to external financing. In line with this belief, it is found that the duration and magnitude of recessions and recoveries are often shaped by linkages between business and credit cycles. In particular, recessions accompanied by financial disruption episodes (notably, house and equity price busts), tend to be longer and deeper. Recoveries combined with rapid growth in credit, risk-taking, and house prices tend to be stronger.

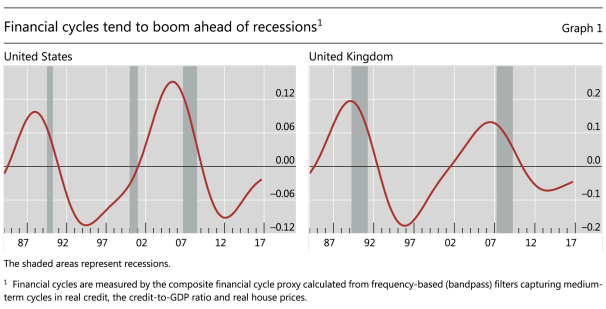
Financial variables tend to co-vary closely with each other and can often help explain the size of an economic expansion or contraction, but they are not always synchronized with the traditional business cycle. Credit cycles tend to be longer, deeper, and sharper than business cycles. Although the length of a business cycle varies from peak to trough, the average length of a credit cycle is mostly found to be longer than that of the business cycle. Exhibit 6 illustrates how credit cycles can be visualized.

Visualizing Financial Cycles

In an October 2019 working paper titled "Predicting Recessions: Financial Cycle versus Term Spread," the Bank for International Settlements (BIS) provided a visual presentation of credit cycles, which is reproduced in Exhibit 6. It shows that such cycles tend to boom before recessions.

Exhibit 6:

BIS Visualization of Financial Cycles



Notes: Credit cycles are measured by a (composite) proxy calculated from variables that include credit-to-GDP ratio and real house prices. The axis on the right shows the year-on-year change in the proxy.*Source*: Bank for International Settlement (BIS) Material (available on the BIS website: www.bis.org).

well as contractions, particularly the severity of a recession if it coincides with the contraction phase of the credit cycle; and (3) it helps them better anticipate policy makers' actions. Whereas monetary and fiscal policy traditionally concentrate on reducing the volatility of business cycles, macroprudential stabilization policies that aim to dampen financial booms have gained importance. This is further stressed by findings that strong peaks in credit cycles are closely associated with subsequent systemic banking crises.

Question Set

1. A senior portfolio manager at Carnara Asset Management explains her analysis of business cycles to a junior analyst. She makes two statements:

Statement 1: Business cycles measure activity by GDP, whereas credit cycles combine a range of financial variables, such as the amount of and pricing of credit.

Statement 2: Credit cycles and business cycles are unrelated and serve different purposes.

A. Only Statement 1 is true.
B. Only Statement 2 is true.
C. Both statements are true.

Hide Solution

Solution:

A is correct. Only Statement 1 is true. Statement 2 is not true because researchers have found linkages between financial and business cycles that help explain the magnitude of business cycle expansions and contractions depending on the state of the credit cycle.

2. With which sector of the economy would analysts most commonly associate credit cycles?

A. Exports
B. Construction and purchases of property
C. Food retail

Hide Solution

Solution:

B is correct. Credit cycles are associated with availability of credit, which is important in the financing of construction and the purchase of property.

3. The reason analysts follow developments in the availability of credit is that:

A. loose private sector credit may contribute to the extent of asset price and real estate bubbles and subsequent crises.
B. loose credit helps reduce the extent of asset price and real estate bubbles.
C. credit cycles are of same length and depth as business cycles.

Hide Solution

Solution:

A is correct. Studies have shown that loose credit conditions contribute to the extent of asset price and real estate bubbles that tend to be followed by crises.

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